Binary Outcomes: LPM, Logit, and Probit – Supplement

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ECO 351 – Introduction to Econometrics

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Supplement: LPM contrast uncertainty

```
. lincom 0.10*pir
 ( 1)  .1*pir = 0
------------------------------------------------------------------------------
        deny | Coefficient  Std. err.      t    P>|t|     [95% conf. interval]
-------------+----------------------------------------------------------------
         (1) |   .0603535   .0098483     6.13   0.000     .0410414    .0796656
------------------------------------------------------------------------------
```

Supplement: logit predictions

```
. margins, at(pir=(0.30 0.40 0.50))
Adjusted predictions                                    Number of obs = 2,380
------------------------------------------------------------------------------
             |            Delta-method
             |     Margin   std. err.      z    P>|z|     [95% conf. interval]
-------------+----------------------------------------------------------------
         _at |
          1  |   .0942269   .0071278    13.22   0.000     .0802567    .1081972
          2  |   .1578074   .0105965    14.89   0.000     .1370387    .1785762
          3  |   .2523377   .0302665     8.34   0.000     .1930163     .311659
------------------------------------------------------------------------------
```